

6 October 2026

Taiwan Technology

Reuters 8996.TW
Bloomberg 8996 TT

Priced on 6 October 2026
Taiwan Wtd @ 49,712.0

12M hi/lo NT\$1,655.00/401.00

12M price target NT\$2,710.00
±% potential +69%

Shares in issue 92.5m
Free float (est.) 81.0%

Market cap US\$4.7bn

3M ADV US\$129.9m

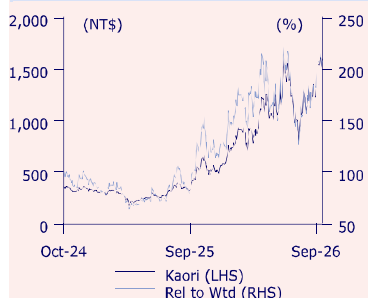
Foreign s'holding 35.1%

Major shareholders
TU Shui-Cheng 3.6%
Tsai He-Ling 2.2%

SinoPac analysts:
Kevin SW Chen, SinoPac
Vanessa Huang, SinoPac

Stock performance (%)

	1M	3M	12M
Absolute	23.1	12.3	290.2
Relative	15.3	5.7	110.1
Abs (US\$)	22.7	13.3	275.1



Source: Bloomberg

Growth in multiples

We forecast revenue to more than double next year

Bloom Energy's planned capacity expansion of up to 10GW strengthens Kaori's long-term SOFC growth outlook, while higher liquid cooling content and shipments should sustain liquid cooling momentum into 2027. CSP CDU heat exchangers and semiconductor equipment cooling could provide additional growth drivers from 4Q26. We raise our 2027/28 EPS forecasts by 14%/12% and increase our target price to NT\$2,710 from NT\$2,300. Reiterate HC O-PF rating.

Bloom Energy to double its capacity

Bloom Energy (BE) has announced plans to acquire a 158k sqft facility in Fremont, US, comparable in size to its existing Fremont manufacturing plant, which can produce up to 5GW. We believe the acquisition could support an eventual doubling of its fuel cell stack manufacturing capacity to 10GW. We expect its supply chain to support shipments of 2/4/6GW in 2026/27/28 to meet strong solid oxide fuel cell (SOFC) demand. To support this ramp, Kaori is expanding capacity to 6-7x its current level by end-2027. We now forecast Kaori's sales from BE to grow by 185%/66% YoY in 2027/28, versus our previous estimate of 101%/77%.

Strong liquid cooling momentum into 2027

With SpaceX planning an additional 6-8GW of datacentre capacity in 2027, we believe GPU server suppliers Supermicro and Dell will be key beneficiaries, supporting continued growth across their supply chains from 2H26 into 2027. Higher content value for Rubin manifolds, together with stronger CDU and rear-door heat exchanger (RDHX) shipments, should support Kaori's liquid cooling momentum. We forecast its liquid cooling revenue to grow by 60%/25% YoY in 2027/28.

Diversifying the growth engines

While SOFC and Supermicro-related liquid cooling remain Kaori's main growth drivers, we believe plate heat exchangers for CSP CDUs and liquid cooling applications in semiconductor equipment could emerge as additional growth drivers from 4Q26. These opportunities should broaden Kaori's customer and application exposure, supporting its longer-term growth outlook.

Earnings revisions and valuation

We raise our 2027/28SP EPS forecasts by 14%/12% to reflect higher expected demand and shipments for BE's fuel cells, alongside a stronger liquid cooling outlook. We increase our TP to NT\$2,710 from NT\$2,300, based on an unchanged 40x 2H27-1H28SP PE. Reiterate High Conviction Outperform rating.

Financials

Year to 31 December	24A	25A	26SP	27SP	28SP
Revenue (NT\$m)	4,003	6,581	14,390	30,154	46,912
Rev forecast change (%)	-	-	0.5	15.6	13.8
Net profit (NT\$m)	593	830	2,028	4,665	7,643
NP forecast change (%)	-	-	(0.7)	15.7	13.4
EPS (NT\$)	6.56	9.07	21.47	48.35	79.21
SP/consensus (5) (EPS%)	-	-	97	114	107
EPS growth (% YoY)	1.7	38.2	136.8	125.2	63.8
PE (x)	244.0	176.5	74.5	33.1	20.2
Dividend yield (%)	0.2	0.2	0.5	0.9	1.5
ROE (%)	19.4	21.9	40.4	59.8	59.5
Net debt/equity (%)	(5.2)	(6.7)	22.1	10.9	3.2

Source: SinoPac

Change in target price

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Financials at a glance

Year to 31 December	2024A	2025A	2026SP	(% YoY)	2027SP	2028SP
Profit & Loss (NT\$m)						
Revenue	4,003	6,581	14,390	118.7	30,154	46,912
Cogs (ex-D&A)	(2,650)	(4,587)	(10,010)		(20,537)	(31,642)
Gross Profit (ex-D&A)	1,354	1,994	4,380	119.7	9,616	15,270
SG&A and other expenses	(548)	(775)	(1,468)		(2,756)	(4,037)
Op Ebitda	806	1,218	2,912	139	6,861	11,233
Depreciation/amortisation	(159)	(195)	(367)		(997)	(1,631)
Op Ebit	647	1,024	2,546	148.7	5,864	9,602
Net interest inc/(exp)	(14)	(10)	(8)		(7)	(7)
Other non-Op items	117	39	49	26.1	(2)	(2)
Profit before tax	750	1,052	2,586	145.9	5,855	9,593
Taxation	(157)	(222)	(558)		(1,190)	(1,950)
Profit after tax	593	830	2,028	144.5	4,665	7,643
Minority interest	0	0	0		0	0
Net profit	593	830	2,028	144.5	4,665	7,643
Adjusted profit	593	830	2,028	144.5	4,665	7,643
Cashflow (NT\$m)						
Operating profit	647	1,024	2,546	148.7	5,864	9,602
Depreciation/amortisation	159	195	367	88.4	997	1,631
Working capital changes	331	(416)	(3)		(1,625)	(4,867)
Other items	(96)	(205)	(518)		(1,199)	(1,959)
Net operating cashflow	1,041	598	2,392	300.1	4,037	4,406
Capital expenditure	(190)	(313)	(3,617)		(3,000)	(2,460)
Free cashflow	851	285	(1,225)		1,037	1,946
M&A/Others	(4)	94	0		0	0
Net investing cashflow	(195)	(219)	(3,617)		(3,000)	(2,460)
Increase in loans	787	(81)	200		200	200
Dividends	(358)	(366)	(365)		(811)	(1,400)
Net equity raised/other	(4)	(132)	5		5	5
Net financing cashflow	426	(579)	(160)		(606)	(1,195)
Incr/(decr) in net cash	1,273	(200)	(1,385)		431	752
Exch rate movements	8	5	5	0	5	5
Balance sheet (NT\$m)						
Cash & equivalents	1,871	1,677	298	(82.2)	734	1,491
Accounts receivable	822	1,817	1,799	(1)	3,769	5,864
Other current assets	1,163	2,086	2,308	10.6	3,822	8,551
Fixed assets	1,966	2,075	5,332	156.9	7,335	8,164
Investments	145	252	298	18	298	298
Intangible assets	9	15	15	0	15	15
Other non-current assets	127	204	127	(37.8)	127	127
Total assets	6,103	8,127	10,176	25.2	16,100	24,510
Short-term debt	958	1,174	1,174	0	1,174	1,174
Accounts payable	362	1,529	1,729	13.1	3,589	5,545
Other current liabs	557	872	872	0	872	872
Long-term debt/CBs	735	224	424	89.4	624	824
Provisions/other LT liabs	53	152	97	(36.1)	107	118
Shareholder funds	3,395	4,171	5,874	40.8	9,728	15,971
Minorities/other equity	42	6	6	0	6	6
Total liabs & equity	6,103	8,127	10,176	25.2	16,100	24,510
Ratio analysis						
Revenue growth (% YoY)	(7.4)	64.4	118.7		109.5	55.6
Ebitda margin (%)	20.1	18.5	20.2		22.8	23.9
Ebit margin (%)	16.2	15.6	17.7		19.4	20.5
Net profit growth (%)	2.9	39.9	144.5		130.0	63.8
Op cashflow growth (% YoY)	53.3	(42.6)	300.1		68.8	9.1
Capex/sales (%)	4.8	4.8	25.1		9.9	5.2
Net debt/equity (%)	(5.2)	(6.7)	22.1		10.9	3.2
Net debt/Ebitda (x)	-	-	0.4		0.2	0.0
ROE (%)	19.4	21.9	40.4		59.8	59.5
ROIC (%)	15.7	23.2	37.1		53.1	56.9

Source: SinoPac

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Figure 1

Forecast revisions

(NT\$m)	2026SP			2027SP			2028SP		
	old	new	% ch	old	new	% ch	old	new	% ch
Revenue	14,318	14,390	0%	26,078	30,154	16%	41,233	46,912	14%
Gross profit	4,027	4,014	0%	7,463	8,620	16%	12,024	13,639	13%
Opex	1,460	1,468	0%	2,387	2,756	15%	3,549	4,037	14%
Operating profit	2,566	2,546	0%	5,076	5,864	16%	8,475	9,602	13%
Pretax profit	2,605	2,586	0%	5,060	5,855	16%	8,460	9,593	13%
Net profit	2,043	2,028	0%	4,032	4,665	16%	6,740	7,643	13%
EPS (NT\$)	21.40	21.02	(1%)	42.23	48.35	14%	70.60	79.21	12%
Margin									
Gross margin	28.1%	27.9%		28.6%	28.6%		29.2%	29.1%	
Operating margin	17.9%	17.7%		19.5%	19.4%		20.6%	20.5%	
Net margin	14.3%	14.1%		15.5%	15.5%		16.3%	16.3%	

Source: SinoPac

Figure 2

Quarterly P&L

(NT\$m)	1Q26	2Q26	3Q26SP	4Q26SP	1Q27SP	2Q27SP	3Q27SP	4Q27SP	2025	2026SP	2027SP	2028SP
Sales	3,423	2,305	3,743	4,919	5,395	6,637	8,334	9,788	6,581	14,390	30,154	46,912
Gross profit	993	599	1,030	1,391	1,529	1,890	2,383	2,818	1,799	4,014	8,620	13,639
Opex	285	301	385	497	513	611	742	891	775	1,468	2,756	4,037
Operating profit	709	298	644	895	1,016	1,280	1,642	1,927	1,024	2,546	5,864	9,602
Non-OP	51	(6)	(3)	(2)	(2)	(2)	(2)	(2)	28	41	(9)	(9)
Pretax profit	760	293	641	893	1,014	1,278	1,639	1,925	1,052	2,586	5,855	9,593
Net profit	606	201	511	711	808	1,018	1,306	1,533	830	2,028	4,665	7,643
EPS (NT\$)	6.54	2.16	5.40	7.53	8.37	10.55	13.54	15.89	8.97	21.02	48.35	79.21
Growth												
Sales QoQ	49%	(33%)	62%	34%	10%	23%	26%	17%				
Sales YoY	238%	55%	110%	115%	58%	188%	127%	99%	64%	119%	111%	56%
EPS QoQ	90%	(67%)	150%	35%	11%	26%	28%	17%				
EPS YoY	347%	62%	91%	119%	28%	388%	143%	111%	37%	134%	128%	64%
Margin												
Gross margin	29.0%	26.0%	27.5%	28.3%	28.3%	28.5%	28.6%	28.8%	27.3%	27.9%	28.6%	29.1%
Opex	8.3%	13.1%	10.3%	10.1%	9.5%	9.2%	8.9%	9.1%	11.8%	10.2%	9.1%	8.6%
OP margin	20.7%	12.9%	17.2%	18.2%	18.8%	19.3%	19.7%	19.7%	15.6%	17.7%	19.4%	20.5%
Non-OP	1.5%	(0.2%)	-0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.4%	0.3%	0.0%	0.0%
Net margin	17.7%	8.7%	13.6%	14.5%	15.0%	15.3%	15.7%	15.7%	12.6%	14.1%	15.5%	16.3%

Source: SinoPac



Figure 3
Sales mix and GM assumptions

Sales (NT\$m)	2025	2026SP	2027SP	2028SP
Heat Energy Product	4,878	12,073	25,439	37,548
Plate Heat Exchanger	1,702	2,317	4,715	9,364
Total	6,581	14,390	30,154	46,912
YoY (%)	2025	2026SP	2027SP	2028SP
Heat Energy Product	104%	147%	112%	48%
Plate Heat Exchanger	5%	36%	101%	99%
Total	64%	119%	111%	56%
Sales mix (%)	2025	2026SP	2027SP	2028SP
Heat Energy Product	74%	84%	84%	80%
Plate Heat Exchanger	26%	16%	16%	20%
Total	100%	100%	100%	100%
Gross margin (%)	2025	2026SP	2027SP	2028SP
Heat Energy Product	27%	28%	28%	28%
Plate Heat Exchanger	29%	29%	30%	32%
Total	27%	28%	29%	29%

Source: SinoPac

Figure 4
Forward PE


Source: SinoPac

Figure 5
Forward PB


Source: SinoPac

Figure 6
Target price change

	Target PE (x)	Valuation period	12-month rolling EPS (NT\$)	Target Price (NT\$)
Old	40	2H27-1H28	57.6	2,300
New	40	2H27-1H28	67.1	2,710

Source: SinoPac

Investment thesis

Kaori is well positioned to capitalise on rising demand for liquid cooling, and it expects related product shipments to ramp up. The fuel-cell business should be a huge growth driver in 2026-27 to meet AI power infrastructure demand in the US. In the longer term, we believe the company will also benefit from heat-pump demand as Europe is phasing out gas boilers, despite some noise about near-term demand. Kaori has been planning capacity expansion earlier than peers to fully capture demand, with rising exposure to large clients. We thus expect the company to enjoy robust earnings in coming years.

Catalysts

The major growth catalysts largely depend on fuel-cell projects for AI datacentres taking off, increasing content value in liquid cooling offerings, and a clearer outlook for hydrogen electrolyzer development.

Valuation details

We adopt a PE-based valuation methodology as we believe the market will mainly focus on the earnings growth outlook, which is better reflected with PE metrics. We base our valuation on 40x PE, which is around +1sd of its five-year average and supported by an 93% EPS Cagr in 2026-28SP, to account for the surging demand for AI server liquid cooling and power infrastructure. We are positive on the company's long-term outlook given its growing stationary fuel cell demand from AI datacentres, as well as its efforts to diversify customer exposure for liquid cooling business. We believe the company can maintain its competitive edge over other cooling players given its expertise in vacuum welding technology to manufacture high-quality products.

Investment risks

Downside risks: 1) increased competition for Bloom Energy's fuel cell business or new technology solutions replacing fuel cells; 2) slower kick-off of new fuel cell projects for AI datacentres; 3) weaker-than-expected liquid cooling adoption; 4) slower rollout of Europe/US government subsidies for heat pump installations.

Detailed financials

Profit & Loss (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Revenue	2,844	4,326	4,003	6,581	14,390	30,154	46,912
Cogs (ex-D&A)	(1,944)	(2,973)	(2,650)	(4,587)	(10,010)	(20,537)	(31,642)
Gross Profit (ex-D&A)	899	1,353	1,354	1,994	4,380	9,616	15,270
Research & development costs	(81)	(84)	(113)	(218)	(364)	(551)	(807)
Selling & marketing expenses	(132)	(139)	(139)	(159)	(335)	(689)	(1,009)
Other SG&A	(227)	(289)	(296)	(398)	(769)	(1,516)	(2,221)
Other Op Expenses ex-D&A	-	-	-	-	-	-	-
Op Ebitda	460	841	806	1,218	2,912	6,861	11,233
Depreciation/amortisation	(114)	(129)	(159)	(195)	(367)	(997)	(1,631)
Op Ebit	346	711	647	1,024	2,546	5,864	9,602
Interest income	2	8	9	20	24	26	26
Interest expense	(13)	(33)	(22)	(31)	(32)	(33)	(32)
Net interest inc/(exp)	(12)	(25)	(14)	(10)	(8)	(7)	(7)
Associates/investments	(6)	(2)	12	3	0	0	0
Forex/other income	57	31	50	16	40	(2)	(2)
Asset sales/other cash items	-	-	-	-	-	-	-
Provisions/other non-cash items	5	14	55	20	9	0	0
Asset revaluation/Exceptional items	-	-	-	-	-	-	-
Profit before tax	390	730	750	1,052	2,586	5,855	9,593
Taxation	(89)	(153)	(157)	(222)	(558)	(1,190)	(1,950)
Profit after tax	301	577	593	830	2,028	4,665	7,643
Preference dividends	-	-	-	-	-	-	-
Profit for period	301	577	593	830	2,028	4,665	7,643
Minority interest	0	0	0	0	0	0	0
Net profit	301	577	593	830	2,028	4,665	7,643
Extraordinaries/others	0	0	0	0	0	0	0
Profit available to ordinary shares	301	577	593	830	2,028	4,665	7,643
Dividends	(134)	(134)	(358)	(366)	(365)	(811)	(1,400)
Retained profit	167	442	236	464	1,663	3,854	6,243
Adjusted profit	301	577	593	830	2,028	4,665	7,643
EPS (NT\$)	3.4	6.4	6.6	9.1	21.5	48.4	79.2
Adj EPS [pre excep] (NT\$)	3.4	6.4	6.6	9.1	21.5	48.4	79.2
Core EPS (NT\$)	3.4	6.4	6.6	9.1	21.5	48.4	79.2
DPS (NT\$)	1.5	4.0	2.9	3.9	8.4	14.5	23.8

Profit & loss ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Revenue growth (% YoY)	27.4	52.1	(7.4)	64.4	118.7	109.5	55.6
Ebitda growth (% YoY)	34.1	82.7	(4.2)	51.3	139.0	135.6	63.7
Ebit growth (% YoY)	50.3	105.5	(9.1)	58.3	148.7	130.3	63.7
Net profit growth (%)	101.8	91.5	2.9	39.9	144.5	130.0	63.8
EPS growth (% YoY)	101.8	91.5	1.7	38.2	136.8	125.2	63.8
Adj EPS growth (% YoY)	101.8	91.5	1.7	38.2	136.8	125.2	63.8
DPS growth (% YoY)	(0.3)	166.3	(27.5)	36.8	113.1	72.5	63.8
Core EPS growth (% YoY)	101.8	91.5	1.7	38.2	136.8	125.2	63.8
Margins (%)							
Gross margin (%)	31.6	31.3	33.8	30.3	30.4	31.9	32.6
Ebitda margin (%)	16.2	19.4	20.1	18.5	20.2	22.8	23.9
Ebit margin (%)	12.2	16.4	16.2	15.6	17.7	19.4	20.5
Net profit margin (%)	10.6	13.3	14.8	12.6	14.1	15.5	16.3
Core profit margin	10.6	13.3	14.8	12.6	14.1	15.5	16.3
Op cashflow margin	(10.1)	15.7	26.0	9.1	16.6	13.4	9.4
Returns (%)							
ROE (%)	15.4	24.3	19.4	21.9	40.4	59.8	59.5
ROA (%)	7.1	12.5	9.4	11.3	21.8	35.6	37.7
ROIC (%)	9.8	17.4	15.7	23.2	37.1	53.1	56.9
ROCE (%)	12.1	21.2	19.2	28.6	46.0	65.2	70.4
Other key ratios (%)							
Effective tax rate (%)	22.8	21.0	20.9	21.1	21.6	20.3	20.3
Ebitda/net int exp (x)	39.6	33.5	57.9	116.4	365.4	1,036.5	1,723.6
Exceptional or extraord. inc/PBT (%)	-	-	-	-	-	-	-
Dividend payout (%)	44.4	61.7	44.0	43.5	39.2	30.0	30.0

Source: SinoPac

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Balance sheet (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Cash & equivalents	249	591	1,871	1,677	298	734	1,491
Accounts receivable	580	798	822	1,817	1,799	3,769	5,864
Inventories	1,180	1,235	1,052	1,853	2,075	3,589	8,318
Other current assets	236	78	110	232	232	232	232
Current assets	2,245	2,702	3,856	5,580	4,404	8,325	15,906
Fixed assets	1,625	1,839	1,966	2,075	5,332	7,335	8,164
Investments	159	132	145	252	298	298	298
Goodwill	0	0	0	0	0	0	0
Other intangible assets	0	3	9	15	15	15	15
Other non-current assets	128	154	127	204	127	127	127
Total assets	4,156	4,829	6,103	8,127	10,176	16,100	24,510
Short term loans/OD	838	255	958	1,174	1,174	1,174	1,174
Accounts payable	255	206	362	1,529	1,729	3,589	5,545
Accrued expenses	-	-	-	-	-	-	-
Taxes payable	0	0	0	0	0	0	0
Other current liabs	383	535	557	872	872	872	872
Current liabilities	1,476	996	1,877	3,575	3,775	5,635	7,591
Long-term debt/leases/other	595	1,092	735	224	424	624	824
Convertible bonds	-	-	-	-	-	-	-
Provisions/other LT liabs	26	38	53	152	97	107	118
Total liabilities	2,097	2,125	2,666	3,950	4,296	6,366	8,533
Share capital	894	894	915	925	965	965	965
Retained earnings	368	778	956	1,451	2,911	6,298	11,777
Reserves/others	784	1,037	1,524	1,795	1,998	2,465	3,229
Shareholder funds	2,045	2,709	3,395	4,171	5,874	9,728	15,971
Minorities/other equity	14	(5)	42	6	6	6	6
Total equity	2,059	2,704	3,437	4,177	5,880	9,734	15,977
Total liabs & equity	4,156	4,829	6,103	8,127	10,176	16,100	24,510
Total debt	1,433	1,346	1,694	1,397	1,597	1,797	1,997
Net debt	1,184	755	(178)	(280)	1,300	1,063	506
Adjusted EV	144,017	143,628	146,063	147,447	155,381	155,145	154,587
BVPS (NT\$)	22.9	30.3	37.1	45.1	60.9	100.8	165.5

Balance sheet ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Key ratios							
Current ratio (x)	1.5	2.7	2.1	1.6	1.2	1.5	2.1
Growth in total assets (% YoY)	21.8	16.2	26.4	33.2	25.2	58.2	52.2
Growth in capital employed (% YoY)	30.8	6.7	(5.8)	19.6	84.2	50.4	52.7
Net debt to operating cashflow (x)	(4.1)	1.1	-	-	0.5	0.3	0.1
Gross debt to operating cashflow (x)	(5.0)	2.0	1.6	2.3	0.7	0.4	0.5
Gross debt to Ebitda (x)	3.1	1.6	2.1	1.1	0.5	0.3	0.2
Net debt/Ebitda (x)	2.6	0.9	-	-	0.4	0.2	0.0
Gearing							
Net debt/equity (%)	57.5	27.9	(5.2)	(6.7)	22.1	10.9	3.2
Gross debt/equity (%)	69.6	49.8	49.3	33.5	27.2	18.5	12.5
Interest cover (x)	26.1	21.6	29.2	33.8	79.9	181.2	296.5
Debt cover (x)	(0.2)	0.5	0.6	0.4	1.5	2.2	2.2
Net cash per share (NT\$)	(13.2)	(8.4)	2.0	3.1	(13.8)	(11.0)	(5.2)
Working capital analysis							
Inventory days	155.7	142.1	148.6	110.9	69.1	48.0	65.3
Debtor days	60.4	58.1	73.9	73.2	45.9	33.7	37.5
Creditor days	39.6	27.1	36.9	72.2	57.3	45.1	50.1
Working capital/Sales (%)	47.7	31.7	26.6	22.8	10.5	10.4	17.0
Capital employed analysis							
Sales/Capital employed (%)	87.7	125.1	122.8	168.8	200.4	279.3	284.6
EV/Capital employed (%)	4,441.3	4,152.4	4,481.3	3,783.3	2,164.1	1,436.9	937.8
Working capital/Capital employed (%)	41.9	39.6	32.7	38.5	21.0	29.0	48.5
Fixed capital/Capital employed (%)	50.1	53.2	60.3	53.3	74.3	67.9	49.5
Other ratios (%)							
PB (x)	69.9	52.8	43.1	35.5	26.3	15.9	9.7
EV/Ebitda (x)	313.1	170.9	181.3	121.0	53.4	22.6	13.8
EV/OCF (x)	(500.3)	211.5	140.3	246.6	65.0	38.4	35.1
EV/FCF (x)	(372.1)	435.0	171.6	517.6	(126.9)	149.6	79.4
EV/Sales (x)	50.6	33.2	36.5	22.4	10.8	5.1	3.3
Capex/depreciation (%)	91.9	284.1	126.0	169.7	1,004.2	301.0	150.8

Source: SinoPac

Cashflow (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Operating profit	346	711	647	1,024	2,546	5,864	9,602
Operating adjustments	(45)	(135)	(54)	(194)	(518)	(1,199)	(1,959)
Depreciation/amortisation	114	129	159	195	367	997	1,631
Working capital changes	(711)	(55)	331	(416)	(3)	(1,625)	(4,867)
Interest paid / other financial expenses	0	0	0	0	0	0	0
Tax paid	-	-	-	-	-	-	-
Other non-cash operating items	8	28	(42)	(11)	0	0	0
Net operating cashflow	(288)	679	1,041	598	2,392	4,037	4,406
Capital expenditure	(99)	(349)	(190)	(313)	(3,617)	(3,000)	(2,460)
Free cashflow	(387)	330	851	285	(1,225)	1,037	1,946
Acq/inv/disposals	26	-	-	92	-	-	-
Int, invt & associate div	(93)	3	(4)	2	-	-	-
Net investing cashflow	(167)	(346)	(195)	(219)	(3,617)	(3,000)	(2,460)
Increase in loans	341	139	787	(81)	200	200	200
Dividends	(134)	(134)	(358)	(366)	(365)	(811)	(1,400)
Net equity raised/others	(3)	(3)	(4)	(132)	5	5	5
Net financing cashflow	204	2	426	(579)	(160)	(606)	(1,195)
Incr/(decr) in net cash	(251)	335	1,273	(200)	(1,385)	431	752
Exch rate movements	2	(4)	8	5	5	5	5
Opening cash	499	259	591	1,871	1,677	298	734
Closing cash	249	591	1,871	1,677	298	734	1,491
OCF PS (NT\$)	(3.2)	7.6	11.5	6.5	25.3	41.8	45.7
FCF PS (NT\$)	(4.3)	3.7	9.4	3.1	(13.0)	10.7	20.2

Cashflow ratio analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Op cashflow growth (% YoY)	(197.5)	nm	53.3	(42.6)	300.1	68.8	9.1
FCF growth (% YoY)	(298.8)	-	157.7	(66.5)	(529.9)	-	87.7
Capex growth (%)	(1.4)	251.5	(45.5)	64.5	1,055.3	(17.1)	(18.0)
Other key ratios (%)							
Capex/sales (%)	3.5	8.1	4.8	4.8	25.1	9.9	5.2
Capex/op cashflow (%)	(34.5)	51.4	18.3	52.4	151.2	74.3	55.8
Operating cashflow payout ratio (%)	-	52.4	25.1	60.4	33.2	34.7	52.0
Cashflow payout ratio (%)	-	19.7	34.3	61.2	15.3	20.1	31.8
Free cashflow payout ratio (%)	-	40.6	42.0	128.4	-	78.2	71.9

DuPont analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit margin (%)	12.2	16.4	16.2	15.6	17.7	19.4	20.5
Asset turnover (x)	0.8	1.0	0.7	0.9	1.6	2.3	2.3
Interest burden (x)	1.1	1.0	1.2	1.0	1.0	1.0	1.0
Tax burden (x)	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Return on assets (%)	7.1	12.5	9.4	11.3	21.8	35.6	37.7
Leverage (x)	1.9	1.9	1.8	1.9	1.8	1.7	1.6
ROE (%)	15.4	24.3	19.4	21.9	40.4	59.8	59.5

EVA® analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit adj for tax	267	562	511	807	1,996	4,672	7,650
Average invested capital	2,721	3,237	3,266	3,482	5,388	8,793	13,455
ROIC (%)	9.8	17.4	15.7	23.2	37.1	53.1	56.9
Cost of equity (%)	9.7	9.7	9.7	9.7	9.7	9.7	9.7
Cost of debt (adj for tax)	2.0	2.1	2.1	2.1	2.0	2.1	2.1
Weighted average cost of capital (%)	7.5	7.5	7.5	7.5	7.5	7.5	7.5
EVA/IC (%)	2.3	9.8	8.1	15.6	29.5	45.6	49.3
EVA (NT\$m)	62	318	265	545	1,590	4,009	6,635

Source: SinoPac



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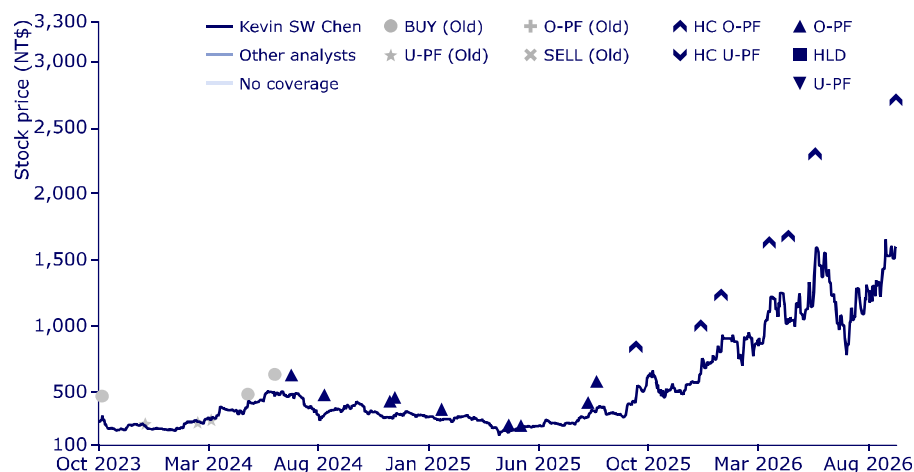
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Recommendation history of Kaori Heat Treatment Co Ltd 8996 TT



Date	Rec	Target	Date	Rec	Target
LATEST	HC O-PF	2,710.00	20 Jan 2025	O-PF	370.00
17 Jun 2026	HC O-PF	2,300.00	17 Nov 2024	O-PF	460.00
11 May 2026	HC O-PF	1,680.00	10 Nov 2024	O-PF	430.00
15 Apr 2026	HC O-PF	1,630.00	12 Aug 2024	O-PF	480.00
08 Feb 2026	HC O-PF	1,234.00	28 Jun 2024	O-PF	630.00
11 Jan 2026	HC O-PF	1,000.00	05 Jun 2024	BUY	630.00
14 Oct 2025	HC O-PF	840.00	29 Apr 2024	BUY	480.00
21 Aug 2025	O-PF	580.00	10 Mar 2024	U-PF	290.00
09 Aug 2025	O-PF	420.00	20 Feb 2024	U-PF	271.00
09 May 2025	O-PF	245.00	10 Dec 2023	U-PF	260.00
22 Apr 2025	O-PF	250.00	12 Oct 2023	BUY	466.00

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA/SinoPac investment rankings below for details. Source: CLSA, SinoPac

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